Article Title: How does money creation occur in the modern economy?

Introduction

The article Money Creation in the Modern Economy explains how money is created and controlled within the modern banking system. It challenges traditional views by showing that commercial banks create the most broad money through lending, rather than simply lending existing deposits or multiplying central-bank reserves. It also examines the constraints on money creation and how monetary policy, including quantitative easing (QE), influences the money supply and economic activity. Building on these concepts, this report also considers how cryptocurrency fits into the modern monetary system, particularly in relation to traditional money, commercial banks, and central banks.

Two misconceptions about money creation

A common misconception is that commercial banks simply collect deposits from savers and lend those same funds to borrowers. In reality, bank lending itself creates new deposits. When a bank issues a loan, it records the loan as an asset and creates an equal deposit in the borrower's account as a liability. Therefore, banks do not need to transfer an existing customer deposit in order to make a new loan. This also means that higher household saving does not automatically create more funds for banks to lend, since saving mainly changes who holds existing deposits rather than increasing total deposits in the banking system.

A second misconception is the traditional money multiplier view, which suggests that central banks first create reserves and commercial banks then multiply those reserves into loans and deposits. In practice, the direction of causality is often closer to the reverse. Banks decide how much to lend based largely on profitable opportunities, while reserves are used to manage liquidity and settle payments between banks. The payments generated by those deposits can then create additional demand for reserves, which are mainly used for settlement between banks. Therefore, the existing quantity of reserves does not mechanically determine the amount of bank lending. However, this does not mean that banks can create unlimited money, since lending remains constrained by profitability, risk, regulation, capital, liquidity, and credit demand.

How commercial banks actually create money

Money consists mainly of base money (currency and bank reserves created by the central bank) and broad money (mainly bank deposits). Commercial banks create most of the broad money through lending. Rather than transferring existing money, a bank credits the borrower's account with a new deposit. The borrower receives a deposit and incurs a corresponding debt, while the bank records the loan as an asset and the deposit as a liability. Therefore, banks do not need to have an equivalent amount of reserves before lending.

Banks decide how much to lend based largely on profitable opportunities, while reserves are needed afterward to handle withdrawals and payments between banks. However, lending is still constrained by liquidity, funding, risk, capital, and profitability. Money is destroyed when loans are repaid, because the deposit used for repayment disappears. Banks can also create or destroy deposits when buying or selling assets. For example, purchasing a government bond from a household can create a new deposit, increasing broad money.

Finally, when banks issue debt or equity, investors may pay using bank deposits. These deposits are replaced by non-deposit liabilities, reducing broad money.

Limits to broad money creation

Just because commercial banks can create money through lending doesn't mean they can do it without limit. How far they can expand their lending depends on profitability, risk management, the choices of households and firms, and ultimately, monetary policy.

Start with the individual bank. When a bank makes a loan, it creates a new deposit, but it cannot assume that the deposit will remain with the bank. The borrower will likely spend the money, and it may well end up at a rival bank. To win deposits back, banks often raise the rates they offer savers, which eats into their margins. There's also risk to manage: liquidity risk, the chance a bank can't meet withdrawals, and credit risk, the chance a borrower won't repay. Add in capital and liquidity rules set by regulators, and lending gets constrained from several directions at once.

What happens next depends on how households and firms use the money. If it's used to pay off existing debt, it's effectively wiped out again, undoing the original act of creation. But if it lands with someone who doesn't want to hold onto it, they'll spend or reinvest it, and that spending can ripple through the economy, adding to inflationary pressure along the way.

The biggest lever, though, belongs to the central bank. Through interest rates, it sets the cost of borrowing economy-wide, and that ultimately decides how much new lending, and new money, banks are willing to create.

While monetary policy usually works indirectly, through interest rates and their knock-on effect on lending, central banks can also move the money supply more directly through asset purchases. That brings us to quantitative easing, which works quite differently from ordinary bank lending.

QE — creating broad money directly with monetary policy

Quantitative easing (QE) allows a central bank to increase broad money directly when conventional monetary policy becomes constrained. Under normal conditions, the Bank of England influences money creation mainly through interest rates. During the financial crisis, however, the Bank Rate reached 0.5%, which was viewed as the effective lower bound, so the Bank used asset purchases as an alternative form of monetary stimulus. The article explains QE using the example of the Bank of England purchasing £1 billion of government bonds from a pension fund. Because the pension fund does not hold a reserve account at the central bank, its commercial bank acts as an intermediary. The pension fund receives £1 billion in new bank deposits, while its commercial bank receives £1 billion in newly created central-bank reserves. As a result, QE increases both broad money through deposits and base money through reserves. The pension fund may then rebalance its portfolio by purchasing higher-yielding assets, which can raise asset prices, lower yields, and encourage spending. The article also corrects two misconceptions. First, QE does not give banks “free money” because the new

reserves are matched by an equal deposit liability. Second, reserves are not automatically multiplied into loans. Banks cannot lend reserves directly to households or firms; instead, lending creates new deposits. Therefore, QE mainly works by increasing money holdings and encouraging portfolio rebalancing rather than mechanically increasing bank lending.

Where does cryptocurrency fit in?

If banks create money through lending to borrowers, then where does cryptocurrency sit in money creation? Short answer: it sits mostly outside it. Assets like Bitcoin are not counted in official measures of the money supply, because they are not a liability of a bank or the government and do not function as the economy's unit of account. Your grandma does not price their rent or groceries in Bitcoin. Central banks do not track it as money in the way they track bank deposits.

Stablecoins are much more complicated. Unlike Bitcoin, stablecoins are designed to hold a steady value pegged to the dollar, and issuers back them mainly with cash and short-term US Treasuries. That backing creates a real, growing link to traditional finance. As of 2025, stablecoin issuers held roughly $125 billion in Treasuries (still under 2% of the $6 trillion in outstanding Treasury bills) but growing quickly, with some forecasts putting the stablecoin market at anywhere from $500 to $2 trillion within a few years [1].

Here's the part that connects back to everything above: money moving from a bank deposit into stablecoin is not new money creation; it is rerouting existing money. As a result, money leaves the banking system rather than staying in a deposit account a bank could lend against; a large enough shift into stablecoins could reduce banks' deposit funding and potentially constrain their ability to expand lending.. One estimate suggests a $650 billion shift from bank deposits into stablecoins could reduce bank lending capacity by roughly $325 billion [2]. It is a useful reminder that new financial technologies do not operate outside the money creation system, it reshapes where money sits within it.

The Takeaway

Money in a modern economy is not a fixed amount that gets divided up and circulated around. It gets created and destroyed constantly by everyday decisions of commercial banks, borrowers, and ultimately the interest rate decisions of central banks. Newer developments like stablecoins do not change the mechanics so much as sit alongside it, redirecting where money flows rather than creating more of it. Understanding all of this shifts the whole picture: monetary policy is not about controlling a tap of cash; it is about setting the price of money and using incentives to influence economic behaviour.

References

[1] - J.P.Morgan Wary of Stablecoin's Trillion-Dollar Growth Bets, Cuts Them by Half
[2] - Stablecoins Could Increase Treasury Demand, but Only by Reducing Demand for Other Assets